Customer Protection Policy: Unauthorised Electronic Transactions and Disputes

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1. Objective

This policy describes the customer's rights and the Bank's obligations in the case of unauthorised electronic banking transactions and disputed transactions. It covers transactions through cards, UPI, IMPS, NEFT, RTGS, internet banking, mobile banking and Prepaid Payment Instruments issued by SecureBank Ltd. It is aligned with the regulator's framework on limiting customer liability in unauthorised electronic transactions.

2. Definitions

- **Unauthorised transaction**: a debit to a customer's account or card that the customer has not authorised.
- **Disputed transaction**: a transaction the customer authorised but disputes for reasons such as goods not received, duplicate charge, incorrect amount, or a refund not credited.
- **Contributory fraud or negligence**: fraud or loss in which the customer has contributed, for example by sharing PIN, OTP, CVV or password.
- **Third-party breach**: a deficiency that lies neither with the Bank nor the customer but elsewhere in the system, such as a merchant data breach or a skimming device at an ATM.
- **Shadow credit**: a temporary credit to the customer's account of the disputed amount, pending investigation.

3. Customer Responsibilities

Customers must register a valid mobile number for SMS alerts; customers who do not register a mobile number will not be eligible for zero liability protection for electronic transactions other than ATM cash withdrawals. Customers must notify the Bank of any unauthorised transaction at the earliest, ideally immediately upon receiving the alert. The Bank sends an alert for every electronic debit, and each alert contains a direct link and the helpline number to report the transaction.

4. Limits on Customer Liability

4.1 Zero liability

A customer has zero liability (full refund) in the following cases:

- Contributory fraud, negligence or deficiency on the part of the Bank, irrespective of whether the customer reports the transaction.
- Third-party breach where the deficiency lies elsewhere in the system, and the customer notifies the Bank within 3 working days of receiving the communication of the unauthorised transaction.
- Any transaction occurring after the customer has reported the loss of card or the unauthorised transaction to the Bank.

4.2 Limited liability

In the case of a third-party breach where the customer reports the transaction between 4 and 7 working days after receiving the communication, the customer's liability is limited to the transaction value or the amount in the table below, whichever is lower:

Type of account / instrument	Maximum customer liability
Basic Savings Bank Deposit (BSBDA) accounts	Rs. 5,000
Other Savings accounts, prepaid instruments, credit cards with limit up to Rs. 5 lakh	Rs. 10,000
Current accounts, credit cards with limit above Rs. 5 lakh	Rs. 25,000

If the transaction is reported beyond 7 working days, the customer's liability will be determined according to the Bank's Board-approved policy, and the case will be reviewed by the Fraud Review Committee.

4.3 Customer negligence

Where the loss is due to the customer's negligence, such as sharing payment credentials (PIN, OTP, CVV, password), the customer bears the entire loss until the unauthorised transaction is reported to the Bank. Any loss occurring after reporting is borne by the Bank.

5. How to Report an Unauthorised Transaction

Customers can report an unauthorised transaction 24x7 through any of the following: the 'Report Fraud' option in the SecureBank app; replying 'FRAUD' to the transaction alert SMS; the support chat; the toll-free helpline 1800-000-1234; email to fraud@securebank.example; or any branch. Customers may also report cyber fraud to the National Cyber Crime Helpline 1930 or cybercrime.gov.in.

On receiving a report, the Bank will (a) immediately block the card or the affected channel to prevent further loss, (b) issue an acknowledgement with a complaint reference number, date and time, and (c) assign the case to a Fraud Specialist, who will contact the customer within 24 hours.

6. Investigation and Timelines

Stage	Timeline
Acknowledgement with reference number	Immediately
Shadow credit (where customer liability is zero or limited)	Within 10 working days of reporting
Resolution and determination of liability	Within 90 days of receiving the complaint
Compensation if not resolved within 90 days	Amount as per zero/limited liability is paid in full

Shadow credit is made value-dated to the date of the unauthorised transaction, so the customer does not lose any interest. For credit cards, the customer will not bear any additional interest burden on the disputed amount. The customer may be asked to submit a signed dispute form, a copy of the police complaint (FIR) for amounts above Rs. 50,000, and any supporting documents.

7. Disputed (Authorised) Transactions

For transactions that the customer authorised but disputes (for example, goods not delivered, a duplicate charge, a different amount charged, or a merchant refund not received), the customer should first contact the merchant. If the issue is not resolved, the customer can raise a dispute with the Bank within 30 days of the transaction date (120 days for card transactions under card network rules).

7.1 Failed transactions (Turn-Around Time)

Where an account is debited but the transaction fails, the Bank will automatically reverse the amount within the timelines below. If the reversal is delayed, the Bank pays compensation of Rs. 100 per day of delay to the customer, without any complaint needed.

Transaction type	Auto-reversal timeline
ATM: account debited but cash not dispensed	Within 5 days of the transaction (T+5)
Card POS / online: account debited, merchant not paid	Within 5 days (T+5)
UPI / IMPS: account debited, beneficiary not credited	Within 1 day (T+1)
NEFT: account debited, beneficiary not credited	Within 2 hours of the batch return

7.2 Chargeback process for cards

For card disputes, the Bank raises a chargeback with the card network (Visa, Mastercard or RuPay) on the customer's behalf. The merchant's bank has up to 45 days to respond. A provisional credit is given on credit cards within 7 working days of the dispute being raised. If the merchant provides valid evidence that the transaction was correct (such as proof of delivery), the provisional credit will be reversed and the customer will be informed with the evidence.

8. Escalation to Human Specialist

The following cases are always handled by a human Fraud Specialist and are not resolved through automated channels: suspected account takeover (for example, unknown login or changed mobile number), SIM swap, unauthorised transactions above Rs. 25,000, cases involving elderly or vulnerable customers, and any case where the customer requests to speak to a person.

9. What SecureBank Will Never Ask For

SecureBank, its employees and its agents will never ask customers for their full card number, CVV, card expiry date together with the card number, ATM or UPI PIN, OTP, internet banking password, or to install screen-sharing or remote access apps. Any such request, even if it appears to come from the Bank, is fraudulent and must be reported immediately.